

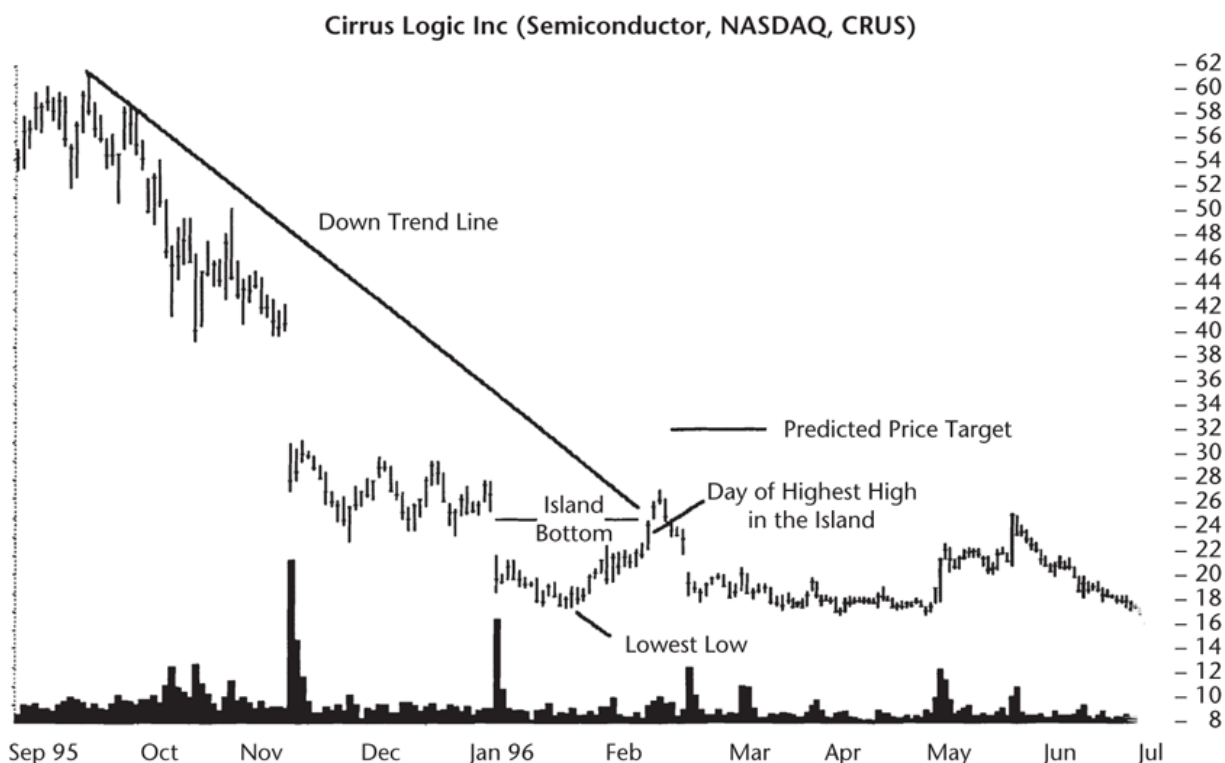


Figure 45.5 A failed island bottom. Sometimes the best trade you can make is none at all.

Since price gapped down to the island and then gapped up away from it, “I knew it was an island bottom,” a better investment choice for performance than an island top. He used the measure rule to gauge the likely price to which the stock would climb. The target represented nearly a 30% rise in price, large enough to risk a trade.

Before he bought the stock, he made a few checks. He saw that the trend was down, as the stock had fallen from a high of 61.13 to the island low of 17.50 (a drop of 71%).

“I drew a trendline from the highest high downward and saw it go through the right island gap. This was a good sign because price had moved above the line and closed there. It signaled a possible trend change. However, something still bothered me, so I held off buying.”

The stock made a new low, and the semiconductor industry as a whole was soft. Did the island bottom really mark a turning point, or would the stock simply rise up, spin around, and retest the low?